



AEO and Li & Fung Ethics, Compliance, Brand Protection Refresher Training

August 2025





- **01** AEO Ethics and Compliance & LF Business Ethics
LF Corporate Governance,
Daniel Leung (10 mins)
- **02** LF Supplier Code of Conduct
LF Vendor Compliance & Sustainability,
Enamul Hasan
Sunny Qin(Chinese session) (10 mins)
- **03** AEO Responsible Sourcing Requirements
LF Vendor Compliance & Sustainability,
Robin Lee
Cherry Deng(Chinese session) (15 mins)
- **04** AEO Brand Protection
LF QA
Hemantha Rathnakumara
Sunny Xiao(Chinese session) (15 mins)
- **05** Q&A and Wrap-up



AEO Ethics and Compliance & LF Business Ethics

01



AEO Ethics & Compliance

AEO

Supplier Code of Conduct

American Eagle Outfitters, Inc. (AEO) is dedicated to the highest level of social and environmental responsibility. As part of that commitment, we direct our business relationships to those suppliers, including our sourcing agents, vendors, factories and their own suppliers, who share our vision of ethical and fair working conditions. Our Code of Conduct, which is based on internationally accepted standards, including the International Labor Organization (ILO)'s core conventions and the Universal Declaration of Human Rights, outlines the minimum standards that we require of our suppliers. In addition to these baseline expectations, suppliers must comply with all legal regulations and are encouraged to incorporate best practices into their workplaces. Where issues of non-compliance are identified, we expect suppliers to take immediate steps to remediate and to demonstrate continuous improvement.

AEO Expectation



Think and act ethically, and with integrity.

Comply with AEO's Supplier Code of Conduct (and all applicable laws and regulations)

If you learn of any facts that you reasonably believe suggest that any non-compliance with AEO's Supplier Code of Conduct (and/or any applicable laws, regulations, etc.) have occurred in connection with AEO business, you are required to report.

How to report:
AEO Compliance Team:
Compliance@ae.com

AEO Hotline:
aeohotline.com/speakup

Please take this learning back to your company and communicate to your teams (to ensure that everyone clearly understands).

AEO Reminder of Key Considerations



Anti-bribery/anti-corruption

AEO takes a **zero-tolerance** stance for bribery, corruption, and related activities.

Not offer, promise, authorize, accept, or request anything of value to someone else with the intention of obtaining or retaining business or to secure any improper advantage.

Bribery is prohibited, regardless the amount, regardless of whether or not the other party is a government official, and regardless of whether you believe that the bribe will somehow benefit AEO.

Gifts & Entertainment

AEO prohibits the acceptance of gifts, entertainment, and travel by its employees. Gifts and entertainment are **NEVER** expected in order to do business with AEO.

Cash or cash equivalents (gift cards, vouchers, loans) are **never permitted**.

Business meals and entertainment must have a business purpose (and be within reason).

Specific limits to business meals and entertainments **(ask first!)**

Li & Fung Business Ethics



LI & FUNG

Is committed to working with suppliers to maintain the highest standards of integrity.

To promote transparency and ethical behavior, any behavior that deviates from these standards must be prohibited. If such behavior occurs, it must be reported to LF management promptly.

Li & Fung Business Ethics

Lending money to LF employees or offering any benefits (e.g., money or luxury gifts) by suppliers is **strictly prohibited**.

Suppliers must be vigilant in avoiding purchasing from vendors who have a close relationship (family or personal) with LF employees. If an LF employee suggests such purchases, please **report any potential conflicts** to LF management to ensure transparency and integrity.

If suppliers know their managers have family or personal relationships with LF employees, they must report it to LF. This helps **avoid conflicts of interest** and ensures fair business practices.

Li & Fung Business Ethics including Whistleblowing

Key elements in CoC and Business Ethics policy

Business Integrity and Ethics

Anti-Bribery and Anti-Corruption – otherwise **ZERO Tolerance!**

Gifts, Entertainment & Hospitality

Conflicts of Interest

Confidential Information

Whistleblowing policy

<https://www.lifung.com/our-strategy/esg-strategy/whistleblowing-policy/#content-area>

Raise a Concern

1. Email: CorpGov@lifung.com
2. Designated third party whistleblowing channel

FaceUp

Let us know **confidentially.**



Scan the QR code
to send us a report.

Or download FaceUp app
with the code: **lifung**





LF Supplier Code of Conduct

02

Li & Fung commitment



To driving responsible business practices in our company and supply chain. We expect our suppliers to:

continuously improve their performance, to implement strong **governance systems**

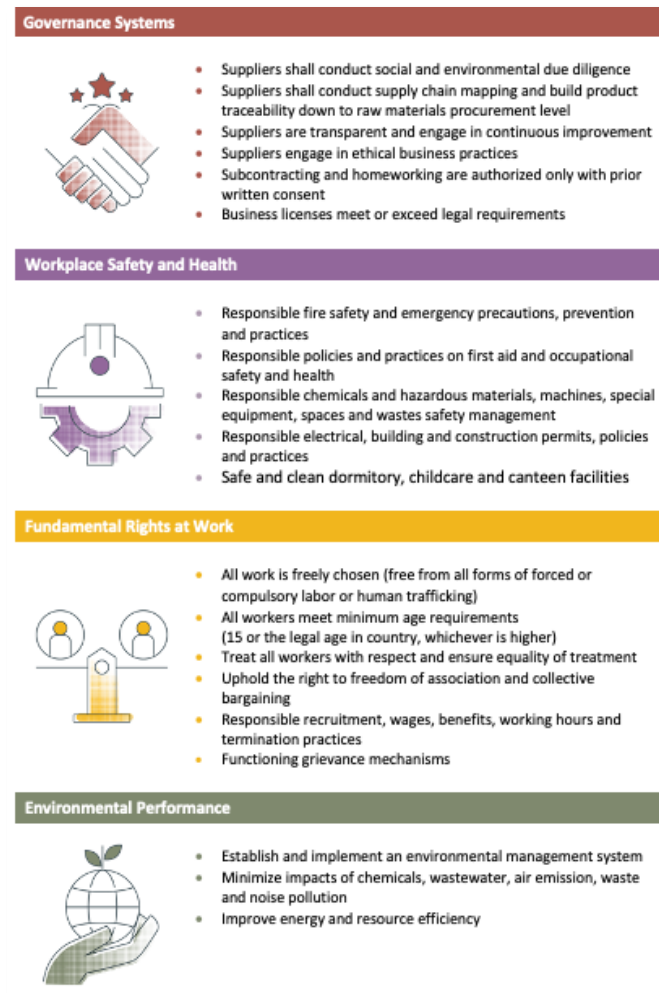
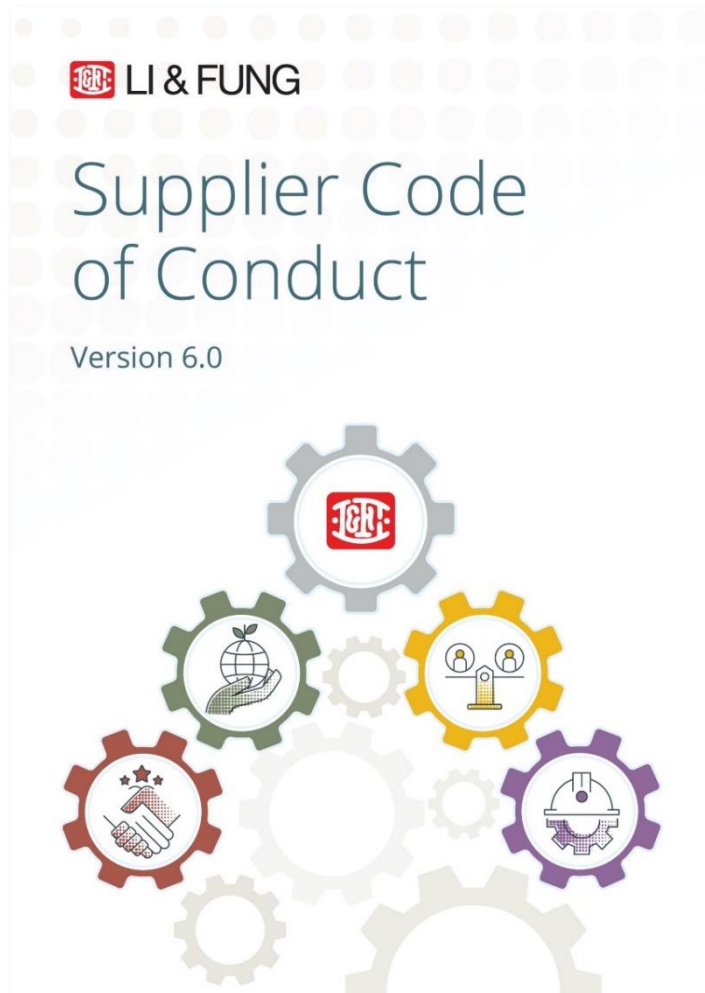
strengthen **workplace safety and health** practice

respect **fundamental rights at work**

drive **environmental performance**

Li & Fung Supplier Code of Conduct

- Li & Fung Supplier Code of Conduct defines our principles and our expectations to our suppliers.
- Li & Fung requires suppliers to meet our Code of Conduct and encourages exceeding them for best practice and continuous improvement. Adherence to this code is crucial for conducting business with LF, and non-compliance may result in the end of the partnership.



Certification Letter for Global Trade Regulations Compliance

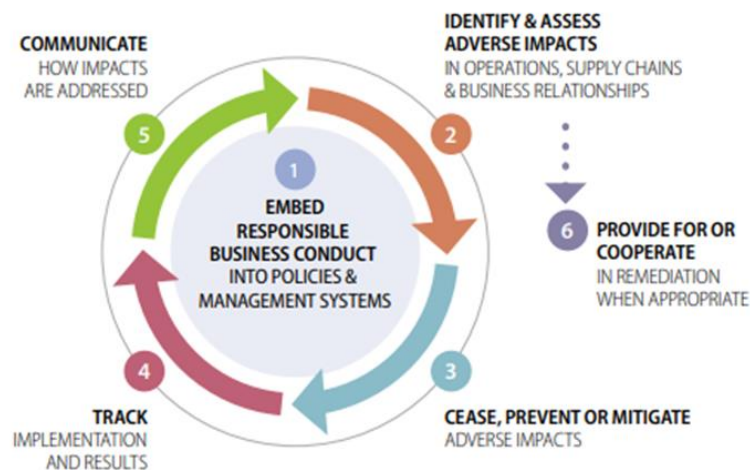
Child Labor Policy

Combatting Forced Labor Policy

Responsible Recruitment Policy

GOVERNANCE SYSTEMS

OECD Six-Step Due Diligence Framework



- Suppliers must adopt a strong governance system to address human rights and environmental impacts, ensure responsible business practices.
- Provide appropriate remedy for negative impacts supplier have caused or contributed to.

- Suppliers shall conduct supply chain mapping and product traceability down to raw materials level
- Suppliers shall be transparent and engage in continuous improvement and ethical business practices
- Suppliers engage in ethical business practices. Li & Fung has a strict policy regarding bribery and corruption.
- Suppliers are strictly prohibited from engaging in any form of violent behavior towards Li & Fung, its customers, or designated representatives.
- Suppliers must not use unauthorized subcontracting or homeworkers
- Business licenses meet or exceed legal requirements

Suppliers are expected to monitor and improve their compliance performance by meeting to local laws and regulations, meeting Li & Fung's minimum requirements, and setting targets to achieve good practice.

WORKPLACE SAFETY AND HEALTH

- Responsible fire safety and emergency precautions, prevention and practices
- Responsible policies and practices on first aid and occupational safety and health
- Safe and clean dormitory, childcare and canteen facilities
- Responsible chemicals and hazardous materials, machines, special equipment, spaces and wastes safety management
- Responsible building and construction permits, policies and practices



Suppliers shall conduct quarterly inspections of all facilities' electrical components and system using a certified electrician.

High voltage areas and generator areas are restricted to authorized personnel only.

FUNDAMENTAL RIGHTS AT WORK

- All work is freely chosen (free from all forms of forced or compulsory labor or human trafficking)
- All workers meet minimum age requirements (15 or the legal age in country, whichever is higher)
- Treat all workers with respect and ensure equality of treatment
- Uphold the right to freedom of association and collective bargaining
- Responsible recruitment, wages, benefits, working hours and termination practices
- Functioning grievance mechanisms

Li & Fung key policies related to human rights:

- Combatting Forced Labor Policy
- Responsible Recruitment Policy
- Child Labor Policy
- Certification letter for global trade regulations compliance

ENVIRONMENTAL PERFORMANCE

- Establish and implement an environmental management system
- Minimize impacts of chemicals, wastewater, air emission, waste and noise pollution
- Improve energy and resource efficiency



Suppliers shall provide training to all workers regarding good practices for minimizing environmental impacts during operations and production.

Critical Violations (D)

Governance Systems

- Record falsification or conflicting
- Coaching, retaliating, or bribing employee for interview; dismissing or hiding employee to evade audit
- Partial access denied

Workplace Safety and Health

- Impeded access to emergency exit or pathway
- Inadequate number of emergency exits
- Setting of emergency exit doors obstruct evacuation.
- Critical risks from unsafe electrical conditions
- Lack of electrical grounding
- Combustible or toxic substances stored in residence
- Immediate fire hazards from reckless or negligent behaviors or from the incorrect storage of flammable materials
- Gross negligence from unlicensed people/machines, site hazards, dangerous operation which may or already caused serious disease, or accident.
- Evidence of potential structural collapse risk which needs continuous surveillance

Fundamental Rights at Work

- Unlawful working hour or hazardous conditions for vulnerable categories of workers (pregnant, nursing, young or disabled workers)
- Unlawful rest, benefit, payment arrangement for female workers (pregnant, nursing etc.)
- Illegal termination
- Worst forms of discrimination in hiring or employment (discrimination which causes severe impacts on victim, or which is systemic)
- 30 or more consecutive workdays
- Insufficient time records (multiple or systematic)
- Acts of anti-union discrimination
- Paying below minimum wage
- Monetary fines, or illegal or excessive disciplinary practices
- Illegal deductions, indirect payment, deposits, charges. Or minor fees paid by migrant workers for the purpose of securing employment.
- Insufficient payroll records (multiple or systematic)
- Non-systemic verbal abuse
- Late payment less than 2 pay periods, or indicators of financial distress

Environmental Performance

- Illegal discharge poses an immediate threat or serious damage to environment or local communities

Zero Tolerance (F)

Governance Systems

- Attempted or committed bribery
- Critical issues related to audit falsification
- Full access denied or denial of serious accident investigation
- Unauthorized subcontracting
- Lack of business license

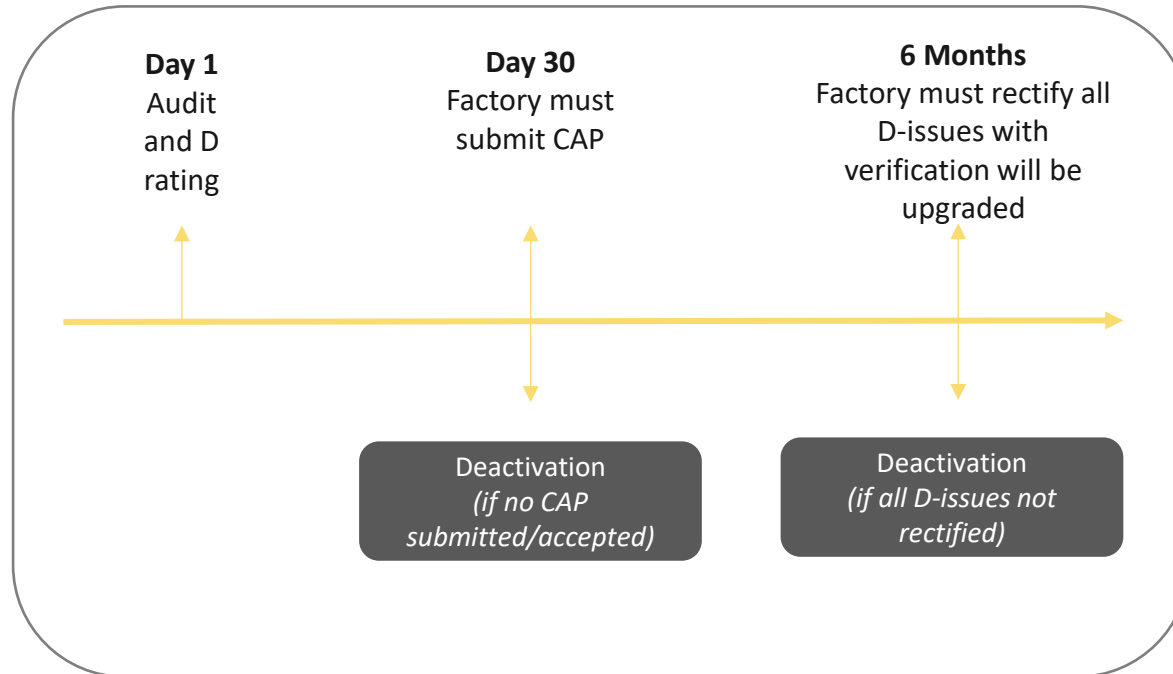
Workplace Safety and Health

- High risk of immediate structural collapse
- Locked or systematically obstructed emergency exit
- Gross or repeated negligence leading to loss of life or serious accident

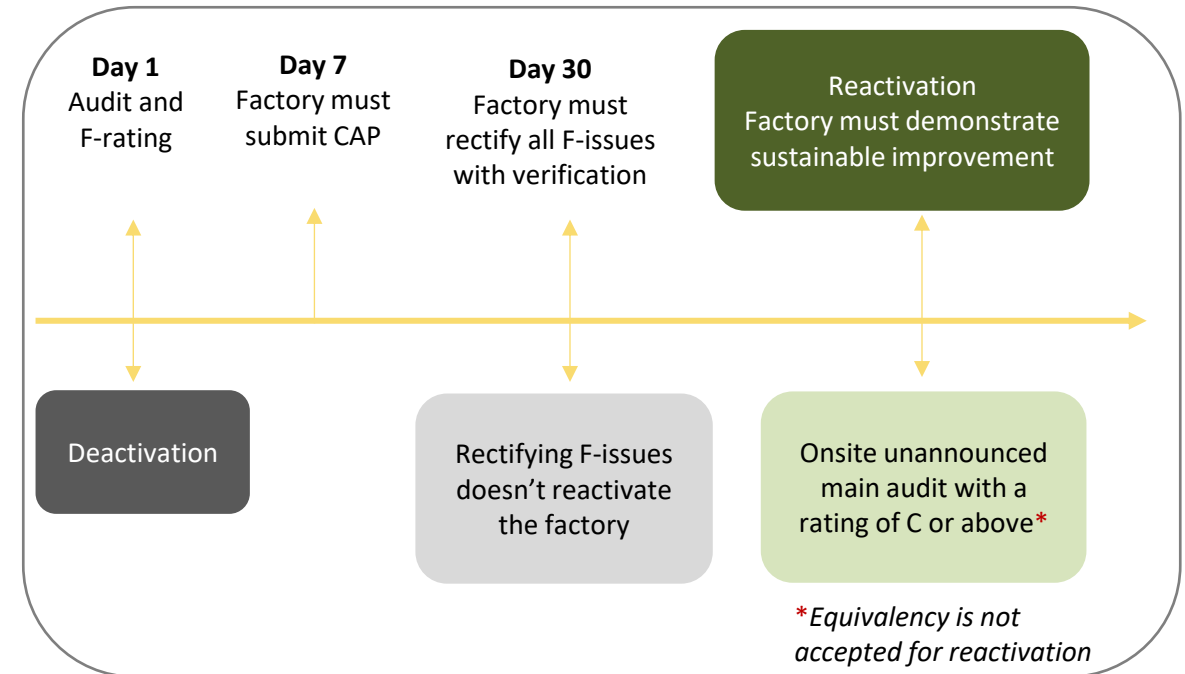
Fundamental Rights at Work

- Underage labor (15 or legal age in country, whichever is higher)
- Worst forms of workplace violence (sexual harassment, physical and psychological abuse)
- All forms of Forced labor
- Payment of illegal and excessive recruitment fees and related costs
- Non-payment of wages for more than 2 pay periods

Mandatory remediation process for a factory with a **D rating**



Mandatory remediation process for a factory with a **F rating**



Failure to correct these issues immediately may result in permanent termination of the business relationship with Li & Fung.



To deliver value in the global supply chains by living our values around
**our people,
our partners
and our planet**

Environment



Greenhouse Gas and Energy

- Decarbonize supply chains
- Accelerate the use of renewable energies



Water and Chemicals

- Reduce fresh water intake
- Improve the quality of wastewaters



Raw Materials and Products

- Improve the environmental and social performance of raw materials
- Enhance circularity of products

Social



Harassment, Child labor, Modern slavery

- Zero cases of modern slavery
- Elimination of child labor
- No worker pays to get a job



Inclusion & Diversity

- Zero cases of gender-based violence
- No workplace harassment and discrimination
- Equal opportunities



Health and Wellbeing

- Zero fatalities or major injuries
- Promotion of healthy lifestyle choices

Governance



Ethics and Anti-corruption



Accountability, Independence and Transparency



Board Composition and Function



Risk Management and Internal Control

Li & Fung ESG – Social Supply Chain



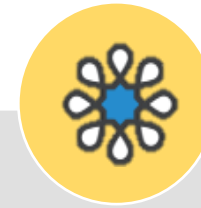
Ending Modern Slavery Promoting Responsible Recruitment

- diginexLumen to identify and mitigate risks of responsible recruitment of migrant workers
- APPRISE worker voice
- Risk-based unannounced spot check



Eliminating Child Labor

- Enhance LF Supplier COC Child Labor Policy
- Partner with The Centre to assess management System of core suppliers
- Capacity building – The Centre Child Labor Prevention and Remediation Mechanisms of core suppliers



Promoting Gender Equality

- Pilot diginexLumen & Apprise Gender Module
- APPRISE Worker Voice
- Facilitate suppliers to participate industry-led programs



Ensuring Workplace Safety

- In 2025 transition to a more integrated program
- Fire safety embedded in spot check program

FACTORY ONBOARDING

RISK ASSESSMENT

SPOT CHECKS

REMEDATION

WORKER'S VOICES

TRAINING

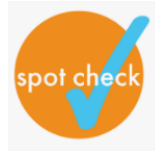


Li & Fung Programs



WORKPLACE SAFETY PROGRAMS

Support factories to mitigate workplace safety risks through early detection, remediation and prevention



UNANNOUNCED SPOT CHECK

Unannounced spot check on audit scheme quality

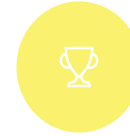
Risk-based Unannounced spot check for Critical Labor and Health & Safety issues



WORKER VOICE

APPRISE

Use Technology to uncover indicators of labor issues



RESPONSIBLE RECRUITMENT & GENDER EQUALITY diginexLUMEN

Using technology to mitigate Forced labor risks(advocate Responsible Recruitment) and promote Gender Equality in supply chain by SAQs and surveys



TRACEABILITY

Sanctions risk screening of new & active suppliers by Sayari

Map and trace key PO, style and fabric

Educate key supply chain partners of traceability





AEO Responsible Sourcing Requirements

03

AEO Social Goal



AEO will prioritize production with Suppliers who :

01

Invest in women workers

through health, life skills, and employment skills training, as well as increase women's access to representative positions and management role

02

Protect vulnerable worker groups

with particular attention to migrant workers and other priority populations

03

Respect workers' voices

with effective grievance systems and elected worker-management committees

04

Create culture of safety

in the workplace by full compliance with national building requirements and fire codes, and on-going training for workers

Current Practice

- Audits for Primary manufacturing facilities (Tier 1 finished goods factories) are conducted by internal AEO teams or third-party auditors



Future Plan

- AEO intends to broaden the audit scope to Secondary manufacturing subcontractors (Tier 2) and mills (Tier 3)
- Subcontractors include packing, cutting, washing, dyeing, embellishment, embroidery, printing or any facility where an AEO logo is present

AEO Factory Social Audit Programs



01 AEO Own Audit

Mainly in China & Bangladesh
Apparel factories

02 Better Work Audit

Bangladesh, Cambodia,
Indonesia, Vietnam

03 3rd Party Audit

Mainly Accessories factories
Regions not covered by BW

AEO Factory Security Audit Programs



Approved Third Party Providers

- **SCAN Association**
- **UL Responsible Sourcing (FAST program)** - UL is AEO's Preferred 3rd Party Supplier
- **Intertek (GSV program)**
- **SGS** - Please indicate American Eagle Outfitters in the subject line

Audit Frequency

Score	Risk Level	Audit Frequency
100%-86%	Low Risk	Every two years
85%-73%	Medium Risk	Every year
72% or Lower	High Risk	Every 6 months

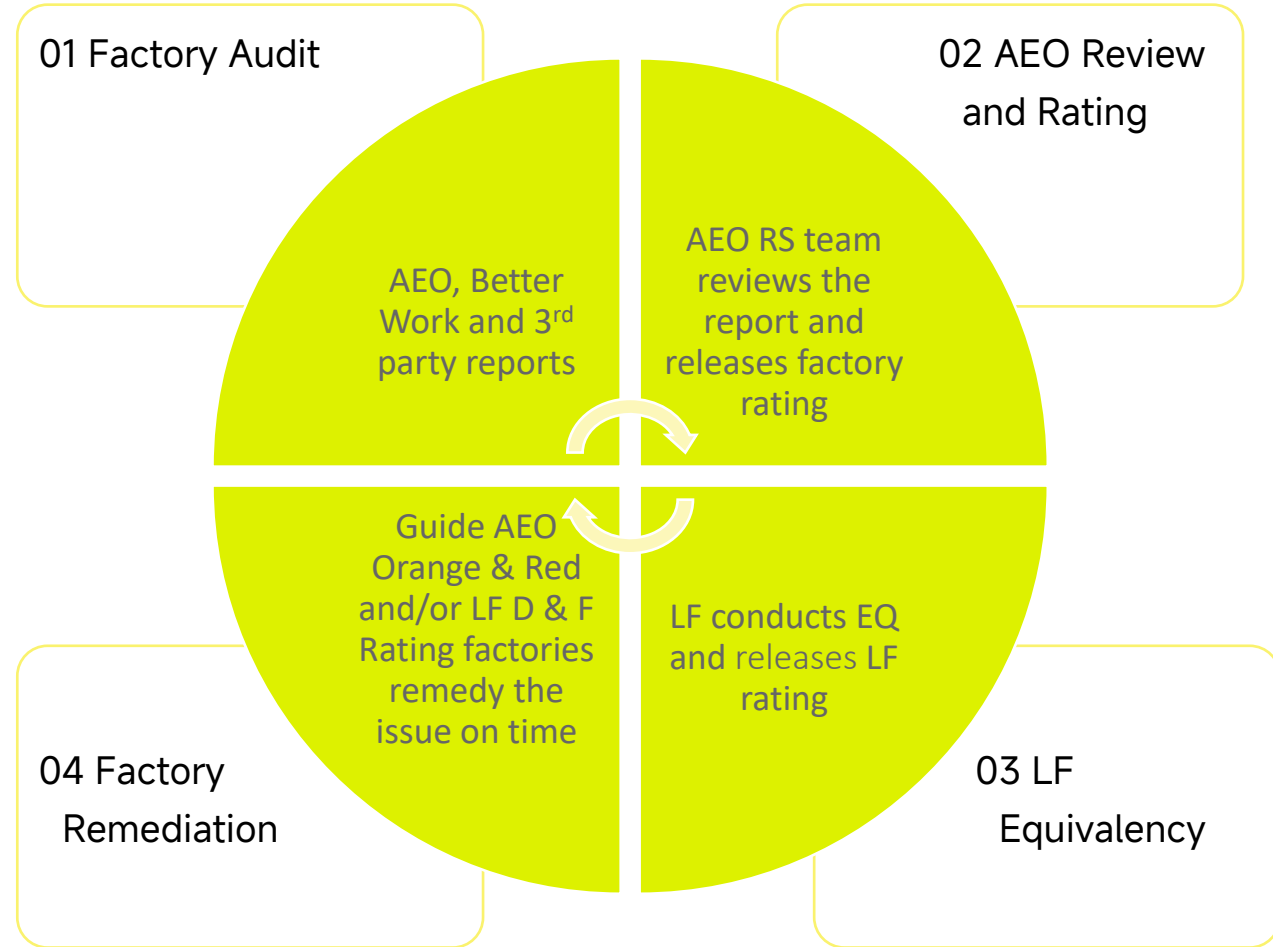
If a factory scores an 80% or lower, the factory will have 30 days to return a Corrective Action Plan to AEO.

AEO-LF Compliance Processes



Important:

- LF MR provide acceptable audit report of new factory to VCS for review
- VCS pre-screen the factory either by onsite or desktop review BEFORE proposing the new factory to AEO





AEO Factory Rating Orange & Red

The factory must achieve a minimum **Yellow** rating.
Blue rating is preferred.



Corrective Action Plan

- Remediation Meeting with factory, supplier & agent
- Provide the signed escalation letter
- Training program or monthly progress required

- Minimum wage violation / Severe delayed payments
- Insufficient work injury insurance coverage
- Missing / expired business license
- Lack of labor contracts
- Insufficient time keeping system
- Lack of rest day – no one day off after 20 consecutive days of working
- Hazardous H&S (i.e. locked exit, fire hazard, missing or insufficient fire equipment or alarm, inappropriate fire doors without temporary safety measures, poor electrical safety)
- No building safety related legal documents
- Mandatory Overtime
- Retained worker documentation (passports, ID etc.)
- Violation of environmental law(i.e. permits)
- Reported worker harassment or abuse
- Partial access
- Failure to remediate

Critical Issues (Orange)

No order increase in next season

Severe issues (Red)

Inactivation and no new orders until remediation

- Child labor
- Non-Transparency (Confirmed double or manipulated books)
- Unauthorized subcontracting
- Egregious Health and Safety and hazardous working conditions (High level disregard, i.e. pervasive locked doors, illegal building or extension)
- Severe environmental pollution
- Confirmed worker harassment or abuse
- Forced labor / Prison labor
- Bribery / Unethical business practices
- Coached workers
- Fully denied access
- Failure to remediate

AEO Programs



AEO Supplier Ownership Program

- Council Program for key suppliers
- Suppliers are empowered to own and drive a sustained social compliance program for long-term, effective management of workplace conditions
- Build suppliers' capacity to continuously improve the responsible sourcing performance of their supply chains



Traceability

- Increased need for traceability
- Supply chain tracing documentation exercise by HAP to prepare for US CBP's WRO
- TRACE ID: due diligence training & verification
- On-going Verification: PO tracing – **new for 2025**
- Training: eLearning for supply chain – **new for 2025**
- Supply Chain Analysis **SAYARI**

Lower-tier Monitoring

- Visit for strategic mills
- Enroll key sub-contractors into new system
- Monitoring the social compliance status



- Empowering women workers and promoting gender equality
- Utilizing RISErespect program and transforming the factory management system
- Enhancing the quality of life of vulnerable people and communities via RISE Digital



- Follow the Guideline and Framework by Better Work to avoid any Publicly Disclosed Issue and AEO critical/severe issues
- Promoting High Performance Factories
- Road safety program in Cambodia

01 Areas

Decent Work

Traceability

Sustainability

02 Rankings

GOLD

SILVER

FOUNDATIONAL

Supplier Ranking for Decent Work



Foundational

- Compliance to legal / industry standards
- Full time compliance team in place

Example:

- ❖ Pre-sourcing requirement for new suppliers
- ❖ Minimum requirements for all existing suppliers



Silver

- Elected worker representative committee
- Functional grievance mechanism
- Proactive self-reporting of urgent issues and internal assessments
- Complete policies and procedures related to worker wellbeing issues
- Clear top management support
- Regular training to staff and workers on policies and procedures



Gold

- Best-in class
- Beyond compliance initiatives, such as women's empowerment
- Establish or actively participate in an external hotline system
- Digital wage payments

- ❖ Recommend for long-term business partnership with AEO

Supplier Ranking for Traceability



Foundational

High Risk

- Transactional documentation is missing from multi stages of the supply chain
- Documentation not provided in a timely manner

Example:

- ❖ Knows the cotton trader for a fabric but cannot prove it sufficiently with documentation.

*Remediation will be required

Critical Risk - Remediation Required

- Tracing has not reached raw material level OR base level documentation cannot be provided.



Silver

Medium Risk

- May not have full Chain of custody documentation all the parties have been identified and provided some quality documents related to some of those parties in a timely manner

Example:

- ❖ Knows the cotton field for a fabric but cannot prove it sufficiently with documentation.



Gold

Low Risk

- Ability to trace back to the final raw material origin and documentation is complete for every stage

Example:

- ❖ Ability to trace supply chain back to cotton field and able to prove each step with all required documentation (payment slips, transportation, internal production records, etc)

- ❖ Recommend for long-term business partnership with AEO

Supplier Ranking for Environmental Sustainability



Foundational

- Compliance to legal / industry standards
- Basic understanding and management system in place
- ❖ Pre-sourcing requirement for new suppliers
- ❖ Minimum requirements for all existing suppliers



Silver

- Commitment to sustainable business and continuous improvement
- Self-monitoring system and best practices in place
- Demonstration of carbon and water reduction
- ❖ Requirements for Real Good logo



Gold

- Best-in class
- Already met AEO long-term sustainability goals
- ❖ Recommend for long-term business partnership with AEO

Examples of sustainability goals:

- Carbon reduction by 40%
- Renewable energy covers 70% of electricity consumption
- Below water use standard
- Water recycling system in place
- Sustainable machinery for laundries

For textile and apparel suppliers only - including garment factories, garment laundry and dyeing facilities, fabric mills for knitting/ weaving/ dyeing/ finishing

AEO is moving to new system



What Is inspectorio

Supply chain management platform

- Responsible Sourcing & Compliance
- Quality Risk Management
- Traceability & Transparency
- Others

AEO

- Sends invitation to selected factory
- Creates Self-Assessment for factory
- Issues audit Finding Matrix by entering non-compliances from report
- Reviews CAPA

Factory

- Accepts invitation and create account
- Completes Self-Assessment (AEO Factory Overview)
- Enters CAPA information per request



AEO Brand Protection Requirements

04

What is “Brand Protection” means:

- Is the act preventing someone from illegally making and selling a product using a brand name owned by another company
- Infringement

Why it is important to our customers?

- Ensure that AEO intellectual property is protected from unauthorized use or misuse.
- This helps maintain the brand's authenticity and assures customers of the company's commitment to quality.



What we need to do ?

❖ Selloff Approval Sheet/ Selloff Form

- Selloff QTY / Cancelled orders and late shipments may be sold off **upon approval from AEO**
- Work with LFMR to get AEO selloff approval
- Submit the Selloff form to LFMR



❖ Destruction Report

- All Garments after shipment that are effect can not be selloff & 2nd garments are not sellable / rejected
- Submit & follow by LFQA/LFMR every 3 months

❖ Brand Protection Summary Form

- Summary list of 1st, 2nd & 3rd quality garment for multiple styles.
- Submit to LFQA/LFMR every 3 months.

What does Brand Protection do?



01 Intelligent Property Storage

- Managing and Validating all factories that produce AEO production have a proper system to store all AEO's Intelligent Property items.

02 Periodic selloff & Destruction

- Intelligent Property Destruction processes for factories that still producing AEO's goods.

03 Exit (discontinue business with AEO)

- How to exit a factory which will not produce AEO's goods going forward.



Intelligent Property Storage

Brand **Intelligent Property** Protection Storage



AEO Production in Processing

M = Will Manage
V = Will Validate

Brand Protection Storage Tasks	Vendor/ Factory	LF Quality Assurance	LF Vendor Compliance
Secure Storage of Intelligent Property Items	M	V	-
Restriction of photography in relation to AEO Products	M	V	-
Proper Handling of Tech Packs	M	V	-
Secure Storage of Finished Goods	M	-	V
Ongoing Training of LF QA, LF VC, LF Merchandisers and Vendor Personnel	-	M	M

Secured Storage of Intelligent Property Items



- Development Packages should be properly secured



Secured Storage of Intelligent Property Items



- Merchandising documents (like Tech pack, paper pattern, samples) must be safe, secure, organized and store in safe place.



Trims and Accessories for AEO Storage Control



- Restrict access to trims and accessories for AEO storage area
- Store AEO labels, tags, branded trims & branded hardware in an organized & accurate way
- Storage area must be secured (manned or locked) at all times



Factory Sample Room & Sample Making / Show Room and Sample Exhibition



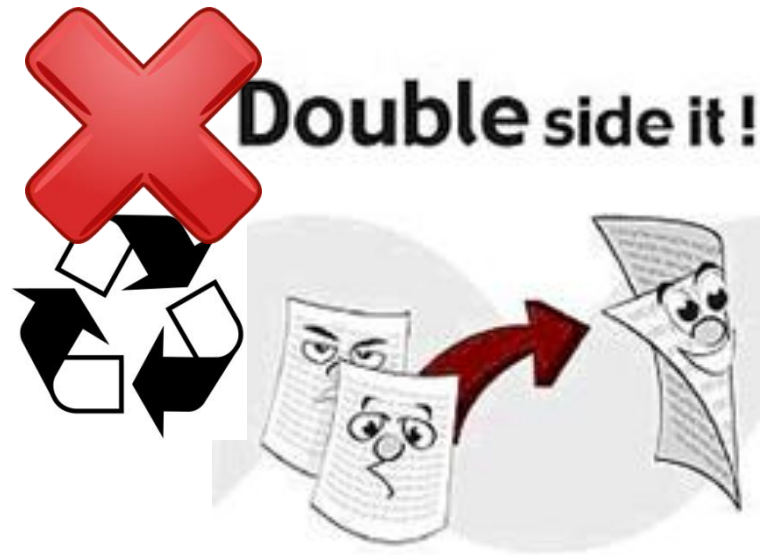
- Sample Room is restricted access only.
- Unauthorized visitors are not permitted in this area.
- Generic labeling should be used for sampling display.
- Ensure that the existing product are at least 6 months old from the last delivery of that style for that season.
- Display AEO styles are simply for reference, not duplication.



Proper Handling of Tech Packs



- Tech-packs contain sensitive information
- Tech-pack sheets should not be re-used to save paper
- Destroy them by shredding or burning



Secure Storage of Finished Goods



- Finished product must be stored securely and locked.
- Having security checks.
- Should limit the number of people who have access right to the storage area.





Periodic Selloff and Destruction

Sell Off Procedures



- Cancelled orders and late shipments may be sold off upon approval from AEO (via **Sell off approval sheet**).
- Upon AEO production's approval, vendor/factory will work with LFMR to complete **Selloff form**.
- AEO's guidelines of selloff product must be followed (remove price tickets, jokers, hang-tag,)
- **Input Selloff information into Brand Protection Summary Form of current year and the previous year accordingly**

(* Please contact LFMR)**

51

(* Please contact LFMR)**

52

Periodic Destruction



After Shipment Effective

M = Will Manage
V = Will Validate

Tasks for Brand Protection Periodic Destruction	Vendor/ Factory	LF Quality Assurance	LF Merchandisers
Properly destroy selected IP items	M	V	-
Conduct audits to ensure old IP items have been properly destroyed and reported	M	V	-
Witness destruction of IP items; document destruction with photos	M	V	-
Destroy selected electronic data	M	V	-
Complete AEO Sell-off and/or Destruction Report	M	-	V
Submit AEO Sell-off and or Destruction Report to AEO	-	-	M

AEO Destruction Report



- 01 Conduct at least Quarterly
- 02 Multi styles per report
- 03 Destruction must be **witnessed with present LF QC & does not need to be pre-approved by AEO**
- 04 LF QA validates and photographs destruction
- 05 Collect all destructed quantity information into Brand Protection Form
- 06 Vendors/Factories need to submit destruction report to LFQA after completed.



AEO Destruction Report

AEO INC.

Destruction Report - Item Details

Email all destruction reports to brandprotection@ae.com on a quarterly basis

Photo/video evidence must be included on second tab

This form can be used for multiple styles and items, separate forms are not needed

Factory Ref # (if applicable) :

Vendor Name:

Facility Location (country):

Method (select from list):

If other, please specify:

Destruction Date (DD/MM/YY):

Destruction Site (select from list):

If other, please specify:

Factory Representative (name):

Agent Representative (name):

Destruct Item(s) Description	Article/Style Number	Season	Total Destruct Quantity

Photographic Evidence of IP Destruction



- Destruction of IP items (by incineration or shredder)
- LF QA witnesses and take photo and show all destruction of IP items

Photo of style / quantity verification



Destruction of full quantity while in process



Photo of evidence of complete destruction



Electronic Data Information



- LF QA witness destruction of embroidery files and other sensitive Intelligent Property data





Factory Exit (discontinue AEO business)

Brand Protection Factory Exit



No Business going forward with AEO

M = Will Manage
V = Will Validate

Tasks for Brand Protection Factory Exit	Vendor/ Factory	LF Quality Assurance	LF Merchandisers
Destroy IP Items Destroy selected data and electronic data	M	V	-
Witness destruction of IP items Photograph destruction of selected IP items	M	V	-
Destroy selected data and electronic data	M	V	-
Complete AEO's Destruction Report	M	-	V
Submit AEO's Destruction Report	-	-	M
Remove AEO's Code of Conduct from factory	M	V	-
Destroy AEO Code of Conduct	-	M	-

Final Exit From Factory



- LF QA will witness the destruction of selected Intelligent Property items (Spec sheets, embroidery tapes, screens, labels, trims, accessories)
- LF QA will validate that AEO's **Code of Conduct** has been removed from the factory
- Excess inventory will be destroyed as soon as the last order has shipped
 - Related sub-contractors will be subject to the same procedures



Brand Protection Audit -



- FTY BTM to be conducted the Brand Protection Audit – Quarterly

- LF QA to be conducted the Brand Protection audit quarterly & verify the audit report/results done by FTY BTM

AEO Brand Protection Audit		Factory: Universal Jeans Ltd.	
		* 1 = Poor (No Action) * 2=Unsatisfactory (Not Consistent Action) * 3=Satisfactory (Consistent with Policy but Documentation Inconsistent) * 4=Good (Meets Policy Expectations) * 5=Excellent (Surpasses Expectations)	
Section 1 – Brand Protection Storage			
Brand Protection Storage Tasks	*Poor 1 to Excellent 5	LF QA Initial Feedback	Sep
Date of Audit:		27-Sep	
Conducted by LF QA (pls mark the name):		Md. Mizanur Rahman	
Accepted by FTY: Pls mark the name of the Fty contact, sign & stamp as confirmation		Md. Moniruzzaman Sohag	
1. Restrict access to trims and accessories storage area (security access permit)	4	Seperated AEO sorage have but no security access permit	Though not available security access permit, but this area is handling by the authorised person only
2. Store labels, tags, branded trims and branded hardware in a organized and accurate way.	4	Though keeping all the mentioned items in a organized & accurate way, but found some of the areas not properly maintained	We've already had a meeting with the authorised & concern person of that area to keep these areas organized.
3. Trims Storage area must be secured (manned or locked) at all times	4	Area is secured & racks are locked. But after issuing found some of the racks are open	We've already had a meeting with the authorised & concern person of that area to lock the racks immediately after issuing trims & accessories
4. Secure Storage of Finished Goods (Locked?)	5	Area is well secured with security gaured	We'll maintain accordingly
5. Proper Handling of Tech Packs	3	Providing hard copy to the relevant department & taking sign in the register book. But sometimes its not maintaining properly	We'll maintain it regularly to keep proper tracking
6. Restriction of photography in relation to AEO Products (signs for no camera use)	4	Photography restricted Sign bords in place at CTPAT area & finishing area	Sign have in the finishing & CTPAT area
7. Sample Making Rooms must be for restricted access only	3	Area is open & advised to maintain a register book to track entry & exit	We'll maintain a register book as the room is in an open place to keep tracking of entry & exit.
8. Merchandising documents (like paper pattern samples) must be safe and secure and organized	3	Need to be more organized. Must maintain a register for samples tracking & there should be a tracking list where soring.	As per advised we'll maintain a register book & we'll place a list of samples where storing
9. Use generic labeling to display showroom samples	5	No displaying samples available yet in the room	
10. For showrooms, ensure that the existing products are at least 6 months old from the last delivery of that style for that season	5	No displaying samples available yet in the room	
11. The Factory has security guards near the finishing area to prevent theft and employee exit area	4	Area is secured & have CCTV camera but no security guard at finishing area	Security guards have at main entry and exit of the factory to prevent theft and employee exit area.
12. Overall Factory security has a strong presence (Security Guards, CCTV, etc.)	5	Have to maintain accordingly	We'll maintain
Total	49		
Section 2 – Record keeping			
Brand Protection Recordkeeping	*Poor 1 to Excellent 5	LF QA Initial Feedback	Sep
Date of Audit:		27-Sep	
Conducted by LF QA (pls mark the name):		Md. Mizanur Rahman	
Accepted by FTY: Pls mark the name of the Fty contact, sign & stamp as confirmation		Md. Moniruzzaman Sohag	
1. The factory has records of AEO Brand Protection forms in order to keep track of Trims, First Run, Leftovers and Self-Off Merchandise	3	Have records of garments, trims & selloff	We'll maintain all the records to keep proper tracking of all the items
2. The factory has records of all destruction of AEO product by means of the AEO destruction form and photo evidence	5	Have & it has to maintain season wise & Quarterly	We'll maintain as per instruction
3. The factory has records of self-off forms submitted to AEO	3	Offered some of the Pos	We've already offered some of the POS & have records
4. The factory keeps a record of any theft or IP issues and also has CAP related to any issue	4	Maintaining a register book for any theft issue at main security gate	We'll maintain it regularly
Total	15		
Section 3 – General Brand Protection			
General Brand Protection		LF QA Initial Feedback	Sep
Date of Audit:		27-Sep	
Conducted by LF QA (pls mark the name):		Md. Mizanur Rahman	
Accepted by FTY: Pls mark the name of the Fty contact, sign & stamp as confirmation		Md. Moniruzzaman Sohag	
1. The factory has enough staff to handle recordkeeping of trim, finished goods and destroyed goods	3	A team is allocated but this is not sufficient enough. Area wise have to allocate a dedicated team for handling this matter properly	Team is already allocated and they are working on it
2. The factory has enough security staff for the facility	5	Have	Have
3. In general the factory has a good understand of Brand Protection and its Importance	3	Need more improvement	We'll improve all the areas in which we have laggings
4. In general the factory is well prepared to handle AEO Intellectual property	3	Need improvement	We'll improve all the areas in which we have laggings
Total	14		
Grand Total	78		

Ensure Brand Protection, Educate Everyone

- Educate LF QA, LF MR, Vendors and fabric/trim suppliers on the importance of brand protection
- Ensure all procedure is carried out & required report is submitted on time
- Factory should translate the BP process in **local language** and stick the chart in the factory so that everyone can understand BP procedure and how to protect the brand





Q&A and Wrap-up

05



THANK YOU

SEE YOU

NEXT TIME



AEO and LF Ethics, Compliance,
and Brand Protection Training
2025 (Quiz)



AEO and LF Ethics, Compliance,
and Brand Protection Training
2025 (Feedback)

